MAHATMA GANDHI UNIVERSITY

MGU-UGP (HONOURS) 2024 Admission Onwards

Semester 2-Model Question Paper

MG2MDCCOM100- FUNDAMENTALS OF ACCOUNTING

Time: 1hour 30 minutes **Total: 50 marks**

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Section A

(Answer any 10 questions in a word, phrase or sentence. Each question carries 1 mark.)

1. Mention any two advantages of accounting. (U, CO1)
2. If A sells goods to B on credit, who is the debtor? (U, CO1)
3. What is Double Entry System? (U, CO1)
4. What do you call the amounts or goods withdrawn by the proprietor for personal use? (U, CO1)
5. What is posting? (U, CO2)
6. What is the treatment of Cash Discount? (U, CO2)
7. What are contra entries? (U, CO2)
8. What do you mean by a debit note? (U, CO2)
9. What are subsidiary books? (U, CO2)
10. Which is the statement prepared to find out the arithmetical accuracy of the books of accounts? (U, CO3)
11. What do you mean by marshalling a balance sheet? (U, CO3)
12. If Sales amount to Rs 3, 00,000 and Gross Profit is 20% on sales, calculate Cost of Goods Sold. (A, CO3) **(10x1=10)**

Section B

(Answer any 4 questions. Each question carries 5 marks)

13. Explain steps involved in accounting process. (U, CO1)
14. Distinguish between trial balance and balance sheet. (U CO3)
15. Show the accounting equation based on following transactions. (U, CO1)

1.	Arun started business with cash	2,00,000
2.	Purchased goods for cash	80,000
3.	Purchased goods on credit	60,000
4.	Sold goods for cash	40,000
5.	Sold goods on credit	30,000

16. Pass the opening journal entry from the following information on 1.4.2024. (A, CO2)

Cash in hand	20,000
Cash at bank	30,000

Machinery	50,000
Stock of goods	60,000
Debtors	70,000
Bank loan	30,000
Creditors	70,000
Land & building	70,000
Capital	?

17. Prepare Purchase Day book (A, CO 2)

2024	
Jan 1	Bought from Y 10 chairs of Rs 120 each less trade discount 10%
Jan 5	Purchased from A and Co 2 tables at Rs 2,400 each
Jan 10	Bought 5 tables @ 2,000 each from Z & Co
Jan 15	Purchased 4 chairs @ Rs 300 each less trade discount 5%

18. Prepare a simple cash book from the following. (A, CO2)

2024		
Nov 1	Started with cash	20,000
Nov 5	Cash received from X	10,000
Nov 8	Paid rent	5,000
Nov 10	Purchased goods for cash	3,000
Nov 15	Sold goods for cash	8,000

(4 x 5 = 20)

Section C

(Answer any 2 question. Each question carries 10 marks)

19. Journalise the following transactions in the books of Madhav.(A, CO2)

2024		
April 1	Started business with cash	50,000
April 2	Bought furniture from Heera	30,000
April 5	Bought furniture for cash	10,000
April 7	Opened a bank account	15,000
April 10	Cash purchases	20,000
April 15	Sold goods for cash	40,000
April 20	Sold goods to Shankar	15,000
April 22	Paid to Heera	18,000
	Discount received	2,000
April 25	Received from Shankar	9,500
	Discount allowed	500
April 27	Paid salary	5,000
April 28	Paid Rent	3,000
April 29	Purchased stationery	1,000
April 30	Withdraw cash for personal use	2,000

20. Prepare a triple column cash book from the following. (A, CO2, 4)

2024	
Nov 1	Cash in hand Rs.50, 000
	Cash at bank Rs.30, 000
Nov 5	Deposited into bank Rs.10, 000
Nov 8	Drew from bank Rs.20000
Nov 10	Drew from bank for personal use Rs.5, 000
Nov 15	Paid to Vijay, a creditor Rs.8, 000
	Discount received Rs.500
Nov 20	Received from Vinayak Rs.18, 000
	Discount allowed Rs.2, 000

21. Following is the trial balance of R as on 31.3.2024 (A, CO3, 4)

TRIAL BALANCE

	Debit	**Credit**
Capital		1,50,000
Opening stock	34,000	
Wages	16,000	
Salaries	15,000	
Purchases	1,80,000	
Rent	20,000	
Sales		3,20,000
Interest received		12,000
Discount received		3,000
Drawings	20,000	
Advertisement	5,000	
Cash in hand	25,000	
Cash at bank	60,000	
Sundry debtors	80,000	
Furniture	70,000	
Sundry Creditors		40,000
Total	**5,25,000**	**5,25,000**

The stock on 31st March 2024 is valued at Rs.88, 000.

You are required to prepare the trading and profit and loss account and balance sheet as on 31.3.2024. Comment on the profitability.

(2x10=20)